

Glossary of Insurance Terms

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- **Actual Cash Value (ACV)** — The cost to replace damaged or stolen property with property of like kind and quality, less depreciation.
- **Adjuster** — The person responsible for investigating, evaluating, and settling a claim.
- **Appraisal** — A formal dispute-resolution process used when the insurer and insured disagree on the amount of a loss, described in Policy Wording Section 8.2.
- **Comprehensive Coverage** — Coverage for damage to a covered auto not caused by collision, such as theft, fire, or glass breakage.
- **Collision Coverage** — Coverage for damage to a covered auto caused by collision with another object or by overturning.
- **Declarations Page ("Dec Page")** — The document summarizing a specific policyholder's coverage selections, limits, deductibles, and endorsements.
- **Deductible** — The amount of a covered loss the policyholder is responsible for before the insurer's payment applies.
- **Endorsement** — A document that modifies the standard Policy Wording for a specific policyholder, adding, removing, or changing coverage.
- **Exclusion** — A specific circumstance or type of loss for which the policy does not provide coverage.
- **Liability Coverage** — Coverage for damages an insured becomes legally responsible for because of bodily injury or property damage to a third party.
- **Limit of Liability** — The maximum amount an insurer will pay for a covered loss.
- **Med-Pay (Medical Payments Coverage)** — Coverage for medical and funeral expenses of an insured injured in an auto accident, regardless of fault.
- **Named Insured** — The person(s) specifically identified on the Declarations page as insured under the policy.
- **Policy Form** — The base contract language governing a line of insurance, identified by a form number and edition date, before any policyholder-specific Declarations page or endorsements are applied.

- **Ride-share/TNC Use** — Operating a vehicle while logged into a transportation network company application in driver mode; see Policy Wording Section 7.6 (PAP-2025-STD) for the associated exclusion.
- **Subrogation** — An insurer's right to recover a claim payment from a third party responsible for the loss.
- **Total Loss** — A covered auto for which the cost of repair plus salvage value equals or exceeds its actual cash value before the loss.
- **Underinsured Motorist (UIM) Coverage** — Coverage for bodily injury caused by a driver whose own liability limits are insufficient to cover the insured's damages.
- **Uninsured Motorist (UM) Coverage** — Coverage for bodily injury caused by a driver who has no liability insurance.